



Linear Regression:-

output change proportionally with input -

constant rate of change = slope

$y = mx + c$

$y = \beta_0 + \beta_1 x + \epsilon$

β_0 → intercept
 β_1 → slope
 ϵ → error

predicted output

predicted price = starting price + (change due to area) + small error.

area	price
1000	50
1200	60
1500	72

area	pred.
1000	48
1200	62
1500	69

error = Actual - predicted

12

Residual → during training.

RSS → Residual Sum of Squares.

$$RSS = \sum (y_i - \hat{y}_i)^2$$

RSS = 12, RSS = 12

Mean squared error

MSE:-

model A
100 observations
RSS = 200

model B
10000 observations
RSS = 200

$\frac{1}{n} \sum_{i=1}^n (y_i - \hat{y}_i)^2$

O/S → Ordinary least Squares.

Gradient Descent

Direction + speed of change

derivative → slope → direction → gradient

Actual data → prediction → error → MSE → cost function or loss function

$J \rightarrow$ smaller score

lockin model.

Cost

θ

Calculate error
find direction
move a little
check error again
repeat.

Learning rate

very small lr → very slow learning

very large lr → overshoots → never converges

Good learning rate → fast & stable.

New parameter = old parameter - (lr × gradient)

lr = 800
cost = 5

lr = 10000
cost = 4.9

Dataset → choose random (β_0, β_1) → predict $\hat{y}$ → calculate residuals

Data → Random parameters → prediction → calculate error → calculate MSE (cost)

find gradient

update parameters

repeat

convergence

best fit line.

$y = x^2$, $y = 2$

$\frac{dy}{dx} = 2x$, $\frac{dy}{dx} = 0$